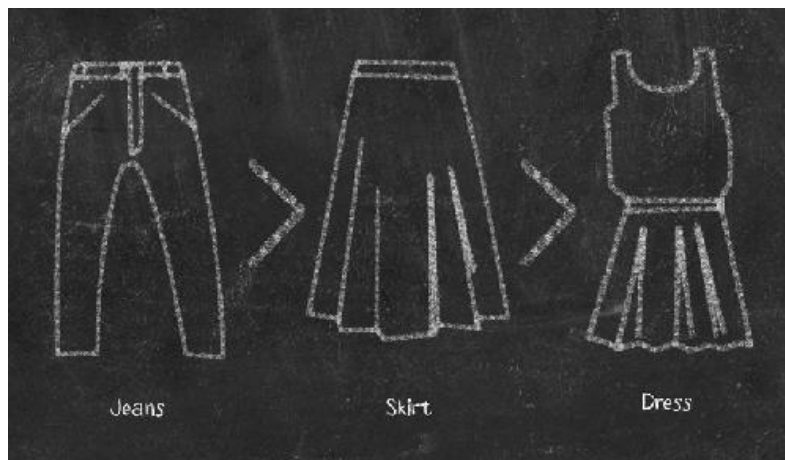


Preferences



Economics views well-being in terms of the extent to which a person's preferences – his or her desires for one thing rather than another – are satisfied. But because resources are scarce, there is a limit to the extent to which people's preferences really can be satisfied. Individuals experience this in facing a 'budget constraint': they can only sate their desires up to the amount of money that they have to buy goods. In doing so they are said to maximize their utility or well-being.

Of course, it is hard to observe a person's full set of desires, and for this reason economists tend to think in terms of what they call 'revealed preference': if we see a person spending her money on jeans when she could have afforded a skirt then we infer that she prefers jeans to skirts. From this starting point, economics attempts to explain how individuals respond to a loosening or a tightening of their budget constraint as a result of changes in prices and incomes.